

When first starting out, most of us discover that the biggest problem we have is finding clients to invest in a brand new manager with a brand new product. Unless your rich uncle Bob just retired and has got a few millions he does not mind investing with you, it may be an uphill battle to get that first seed money to get started. Before you start approaching potential clients you need to have a solid product to sell them, that is, your investment strategy along with your abilities to execute it, and be able to show them that you know what you are talking about. Designing an investment strategy is where this book comes in and I hope you will have a good platform to build upon once you reach the end.

There are two main paths for building a futures-trading business, as opposed to just trading your own money:

- *Managed accounts:* This is the traditional approach, where clients have accounts in their own names and give a power of attorney to the trader to be able to execute trades directly on their behalf. This is quite a simple approach in terms of set-up and legal structures and it provides the client with a high level of flexibility and security. Each account is different, and so the client may have special wishes in terms of risk and such which the trader is usually able to accommodate.

If this is not a desired feature and you wish to simplify trading, you can also get onto a managed-accounts platform for a bank or prime broker where you essentially trade one account and have trades automatically *pro rata* split on the individual client accounts. Since the money is in the client's own account, the individual has the added flexibility of being able to view the account status at any time or to pull the plug on the trading without any notices or otherwise intervene. The client does not need to worry about dealing with a possible new Madoff, because there are no middle men and the bank reports the account status directly to the client. For the money manager, the managed-account solution can mean a little more administrative work at times than if a hedge-fund type structure is employed.

- *Hedge fund:* With this approach, there is one big account for all clients. Well, in practice, there may be several accounts at several banks, but the point is that all money from all clients is pooled together in one pile and traded together. This greatly simplifies the business side when it comes to handling client reporting and paperwork, but it requires a more complex legal structure, sometimes with a combination of onshore and offshore companies.